kiva

Maximize impact by increasing the number of lenders.

Lavinia Ragunath | 180 DC 2nd Interview

- Problem and Rationale
- Recommendation
- Expected Impact
- Implementation
- Feasibility and Risks

Problem and Rationale

Kiva's current impact is constrained by limited youth representation, lack of Gen Z targeting, and weak engagement across communication channels.

Kiva's Borrower Demographics

Vast **majority** of Kiva's entrepreneurs are **middle-aged**, resulting in a notable and persistent **lack of youth representation** in entrepreneurs on the platform.

- **3/100** first shown borrowers on Kiva's website are **younger than 20 years old (only 3%** of total entrepreneurs) showing untapped segment of global market
- **Disproportionate** to demographics of entrepreneurs: 18-to 24-year-olds have **highest rate of entrepreneurial activity** among all generations (2024)

➢ **How can Kiva make its platform more accessible to young founders?**

Kiva's Target Lender

Kiva's current strategy **lacks a focus on the Gen Z** demographic, which represents an **increasingly significant** market segment that remains untapped.

- Gen Z is overall **10% more inclined towards donating** money even if they are not rich (47% of Millennials would donate even if not rich vs. 57% of Gen Z)
- The lending model complements this as even if Gen Z don't have the funds, they **can give money as they will receive it back**, increasing target audience

➢ **How can Kiva effectively target specifically Gen Z as potential lenders?**

Kiva's Support System

Current operational models at Kiva focus on facilitating initial loan access, yet they lack a provision of assistance or stability to marginalized entrepreneurs.

- According to Kiva, a borrower's ability to repay a loan is **most often** affected by **local economic conditions**, currency fluctuations, or weather conditions
- Young entrepreneurs might be exposed to **higher default rates** as they have a **knowledge gap** and are often willing to take **bigger risks** than adults

➢ **How can Kiva provide young founders with stability and support?**

Kiva's Social Media

Kiva's online presence is not very prevalent and does not capitalize on the trends that have high chances of capturing attention and raising awareness.

- Currently **no picture or video updates on the progress** of an entrepreneur which could **increase personal connection and engagement**
- **35%** of the US population would donate if they have a **personal connection** to an issue vs. **20%** who would donate **if a company supports an issue**

➢ **How can Kiva foster connections between lenders and borrowers?**

Recommendation

Kiva should implement a three-pronged approach to maximize impact by increasing the number of lenders and total amount of money being lent.

Scaling Impact Through Targeted Platform Expansion

Partner with Schools to Launch Student Venture Incubators

Fund Student Innovation
Source **young entrepreneurs** by providing funding for students to **launch ventures**

Lender Voting Engagement
Increase lender engagement through voting mechanisms for **student-led competitions**

Increase Borrower Visibility
Boost total loan volume by **spotlighting multiple projects**, not just winners

Introduce Insurance Partnership to De-Risk Student Lending

External Risk Protection
Mitigate high-risk exposure by insuring ventures against external shock (e.g., climate)

Sustained Venture Growth
Provide stability for student entrepreneurs, increasing venture survival and continuity

Trust Driven Funding
Strengthen lender confidence, driving higher participation and repayment expectations

Drive Platform Participation Through Targeted Marketing Campaigns

Engage student entrepreneurs
Activate **student participation** via ambassadors and campus competitions

Dynamic Content Creation
Increase lender engagement through dynamic content (like video updates, rankings)

Attract new lenders
Expand the lender base through **social media** and **live-streamed impact stories**

Expected Impact

Reach student entrepreneurs and support them in launching and sustaining businesses, building confidence in their ideas and future endeavors.

What will this change?

Impact on Children
Change and impact lives from childhood onwards

Long-term Support
Not just helping start a business but sustaining it

Bridging Access Gaps
Making sure marginalized entrepreneurs are heard

The Impact of early-on support on education

- **Social support** explains **47% of academic performance**, making it one of the strongest predictors of educational student success as identified.

➢ For underserved communities, **improved academic outcomes** translate directly into **higher earning potential, reduced inequality, and generational change,** making education the most efficient solution.

$188M
Total lent (2024)

$286M
Total lent (projection 2029)

402K
People reached (2024)

482K
People reached (projected 2029)

Important metrics to track impact:

Short-term metrics:

- Number of students who participate in the program of overall students
- Improvements in test scores and academic performance after program

Long-term metrics

- Mindset shift and confidence in self and entrepreneurial or risky ideas
- Long-term career trajectory in comparison to earlier graduating classes

Implementation

A phased, partnership-driven rollout enables scalable student entrepreneurship while driving lender engagement and growth through targeted outreach.

0-6 months → 6-12 months → 12-24 months → 24-36 months

Phase 1: Proof of Concept

- Launch and **test at one school** Kiva is already working with
- Focus on **lender engagement** of existing platform users
- Integrate with **potential insurance partners**

Financial Budget:
~60K

Next Steps if adopted:

- Choose school to launch first: **Schools Kiva has partnered** with
- Find **insurance** partners Kiva has **established connection** with

Phase 2: Optimize + Expand

- **Test out different approaches** in different locations
- **Expand** to more schools and countries
- **Launch Marketing Campaigns** and begin to **attract new lenders**

Financial Budget:
~68K

Next Steps if adopted:

- Try **different approaches** (e.g., student ambassadors)
- Begin to **post ideas of the children and the process**

Phase 3: Leverage Partnerships

- As media attention starts to grow, begin **utilizing partnerships**
- **Co-marketing campaigns** to attract more lenders
- **Streamline insurance** offerings based on learnings

Financial Budget:
~267K

Next Steps if adopted:

- **Work with Etsy** or other partner to give students **resources**
- Implement **marketing campaign** with other companies like PayPal

Phase 4: Measure + Growth

- **Leverage data** to improve engagement and **retention**
- Establish **standardized processes** for incubators
- **Expand measurement** and reporting of social impact

Financial Budget:
~74K

Next Steps if adopted:

- **Track impact** through KPI's: profits, returns, and confidence
- Have Oversight Employees film **weekly updates and polls**

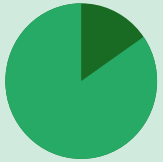
Feasibility and Risks

To ensure long-term feasibility, Kiva will mitigate student-specific risks through insurance integration and a data-driven pilot program across four phases.

Feasibility

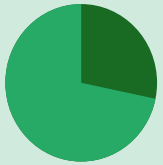
Phase 1: ~$60K

High Feasibility: 60K for 6 months is still less than what Kiva spent on grants in 2024, also grant spendings 2024 were 5x as high as 2023



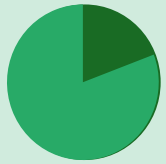
Phase 2: ~$68K

High Feasibility: 68K is not a large increase, for a year it is higher than grants in 2024, but we can expect to have raised funds by then



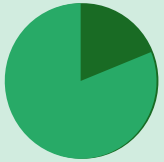
Phase 3: ~$267K

Medium Feasibility: Large cost increase however grant spendings rising by 2400% and if invested will allow to reduce costs later



Phase 4: ~$74K

Moderately High Feasibility: Large decrease in cost especially considering Phase 4 is one year, scaling needs to be done efficiently



Overall Feasibility

Moderately High Feasibility: Overall budget is within reasonable limits considering Kiva's past spendings, if implemented correctly

100% 0%

High risk

Low risk

Risks / Mitigants

All Phases:

Students' ventures may **fail at higher rate** than typical Kiva borrowers, even with short-term support

Use insurance to **de-risk lenders** and signal credibility while not just helping start but also **sustain a business**

Phase 1+2:

Student entrepreneurs don't understand **why they should spend money on insurance** or are not willing to

Bundle insurance into loan terms by **default** (**opt-out**, not opt-in) to remove decision friction and increase adoption

Phase 1+2:

Children under 18 often **dependent on parent's and their approval**, so it is essential that parents like the program

Implement **school-supported consent process** and **information sessions** for parents to show value for their children

Phase 4:

Difficulty scaling back costs when expanding to more schools, raising concerns about longevity of program

Offer a **volunteer program with an established reputation** that would allow to cut back on volunteer expenses

Phase 1+2:

Difficulty partnering with schools, insurance companies and **reaching people** through Social Media and Kiva

Leverage existing networks, select school and insurance partners who **value impact** and highlight **success stories**

Appendix

kiva

Expected Impact Calculations:

2024: $188M total lent, 401.7K people reached
Expected Growth three years after implementation:
188M/401.7K= $468/ borrower
Number of borrowers expected to rise by about 20% because of school partnerships as well as incubators
Loan size expected to rise by about 15% because of voting, direct engagement and connection and insurance
This means $188M grows to $286M total lent, 401.7K goes up to 482.0K

Potential Insurance Company Partner

Manulife MetLife

Kiva already has two partners who operate in the insurance industry: Manulife and MetLife Asia.
Manulife is **committed to driving inclusive economic opportunities** to create an **even playing field** for all, so it would be reasonable to assume they would be open to providing insurance to student entrepreneurs at the normal, if not discounted rate.
Met Life Asia partnered with Kiva to **launch a "Take Action" campaign**, where they allocated a $25 loan to each of their 23,000 employees, so we could assume they would likely be **open to actively helping by providing insurance.**

Expected Costs:

Phase 1 (0-6 months):

$60K	2 Oversight Employees
$750	Volunteer Expenses (1 school * 10 volunteers * $75)
$2K	Campaign Newsletters
$62.75K	Total Cost

Phase 2 (6-12 months):

$60K	2 Oversight Employees
$3K	Volunteer Expenses (4 school * 10 volunteers * $75)
$3K	Marketing
$2K	Operations (Travel, Supplies, Training- ~$500 per school * 4)
$70K	Total Cost

Phase 3 (12-24 months):

$180K	3 Oversight Employees
$22.5K	Volunteer Expenses (30 school * 10 volunteers * $75)
$60K	Outreach Employee (Insurance and Schools)
$5K	Marketing (including Co-marketing)
$267.5K	Total Cost

Phase 4 (24-36 months):

$60K	3 Oversight Employees
$7.5K	Volunteer Expenses (60 schools, only pay for new locations ~10)
$10K	Marketing
$30K	Data Collection and Evaluation
$107.5K	Total Cost
$507.75K	**Overall Expenses (First 3 years)**

Appendix

Top School to launch Phase 1:

- Kiva has worked with Yayasan Sosial Bina Sejahtera (YSBS), an Indonesian organization dedicated to social impact, for over six years
- YSBS has fully repaid its loans
- Launch at one of the 5 high-schools YSBS is running

Leverage Partnerships :

Outreach Channels:

Sources

- https://www.kiva.org/blog/state-of-altruism-pulse
- https://www.kiva.org/blog/state-of-altruism-pulse
- https://pubsonline.informs.org/doi/epdf/10.1287/orsc.2020.1367
- https://pmc.ncbi.nlm.nih.gov/articles/PMC11590916/\
- https://ccsenet.org/journal/index.php/jedp/article/view/0/48712
- https://advocacy.sba.gov/wp-content/uploads/2019/05/437-Entrepreneurship-in-Low-income-Areas.pdf
- https://apps.irs.gov/pub/epostcard/cor/710992446_202406_990_2025052323449344.pdf
- https://pmc.ncbi.nlm.nih.gov/articles/PMC11687781/
- https://www.linkedin.com/company/kiva-org/
- https://www.sciencedirect.com/science/article/pii/S088390262400003X
- https://selfdeterminationtheory.org/wp-content/uploads/2022/09/InPress_ZhangChengEtAl_LenderRetention.pdf
- https://insuranceasia.com/insurance/news/manulife-enters-1m-partnership-kiva
- https://www.insurancebusinessmag.com/asia/news/breaking-news/metlife-asia-partners-with-kiva-to-support-entrepreneurship-101162.aspx
- https://www.kiva.org/about/where-kiva-works/partners/253
- https://entrepreneurship.babson.edu/gem-report-2024/
- https://www.kiva.org/about/due-diligence
- https://www.unumfund.org/toolkit-empowering-marginalized-community-members-to-launch-a-business/